

getting expenses as low as possible to gain freedom from work as soon as possible. He noted that this approach is totally valid mathematically, but it is not for everyone. According to Todd, he has spoken to many people who immediately wrote off the whole idea of FI because it seemed like too much of a sacrifice.

Conversely, he discussed the idea of “Fat FIRE,” the path to FI for those who do not want to optimize all aspects of life or have life choices dictated to them by a tight budget. He points out that we can focus on increasing income while working, using investments with leverage or higher expected returns than traditional stocks and bonds, or having non-traditional retirements subsidized by income earned while doing things we are passionate about. These examples don’t change the “simple math” but instead change how we work with it.

Whether you relate more to the idea of “Lean FIRE” or “Fat FIRE,” you must learn to create a margin between spending and earning. It is vital to realize that it’s difficult to achieve FI if you feel you’re living a life of deprivation. Just as restrictive diets are effective to lose weight in the short-term, most people won’t stick to them in the long-term. You can pick and choose the levers you want to pull to help spend less, earn more, and invest better. Life is about choices,